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DEPARTMENT OF ELECTRONICS AND COMPUTER ENGINEERING

TOPIC: IT INDUSTRY NEWS

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1. INTRODUCTION AND SCOPE

The information technology industry entered the second half of 2026 in an unusual position. Revenue, capital investment and market capitalisation are at record levels, yet employment in the sector is contracting and traditional services growth is close to flat. Almost every major development of the year traces back to a single cause: the industrial-scale build-out of artificial intelligence infrastructure and the pressure it places on every other part of the technology value chain.

This report compiles and analyses the most significant IT industry news of 2026, with particular attention to developments relevant to Indian engineering students entering the workforce. It covers global technology spending, the semiconductor supply chain, the performance of Indian IT services firms, the rise of Global Capability Centres, the India Semiconductor Mission, cybersecurity incidents, and the changing shape of the technology job market. All figures are drawn from company financial disclosures, industry association reports and published news coverage; sources are listed at the end.

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Abstract

In 2026 the five largest cloud providers are expected to spend close to US\$700 billion on capital projects, semiconductor lead times have stretched to roughly forty weeks, Microsoft patched a record number of

vulnerabilities in a single month, India crossed 2,100 Global Capability Centres, and more than 200,000 technology jobs were eliminated worldwide. This document examines how these apparently contradictory facts fit together.

Method and limitations

Figures quoted here are the most recent available as of September 2026 and are taken from primary disclosures wherever possible. Where independent trackers disagree - as they do substantially on layoff counts - both ranges are stated rather than averaged. Forward-looking capital expenditure figures are company guidance, not results, and should be read as statements of intent. Financial years follow the Indian convention for Indian companies, so FY27 refers to April 2026 to March 2027.

2. THE GLOBAL IT INDUSTRY IN 2026: AN OVERVIEW

The defining story of the year is capital expenditure. The five largest hyperscale operators - Amazon, Alphabet, Microsoft, Meta and Oracle - have guided towards combined 2026 capital spending in the range of US\$635 billion to US\$700 billion, against roughly US\$410 billion in 2025 and about US\$238 billion in 2024. Amazon alone projects close to US\$200 billion, an increase of nearly fifty per cent year on year. Roughly three quarters of this spending is tied directly to AI infrastructure: accelerators, networking, data-centre shells, power and cooling.

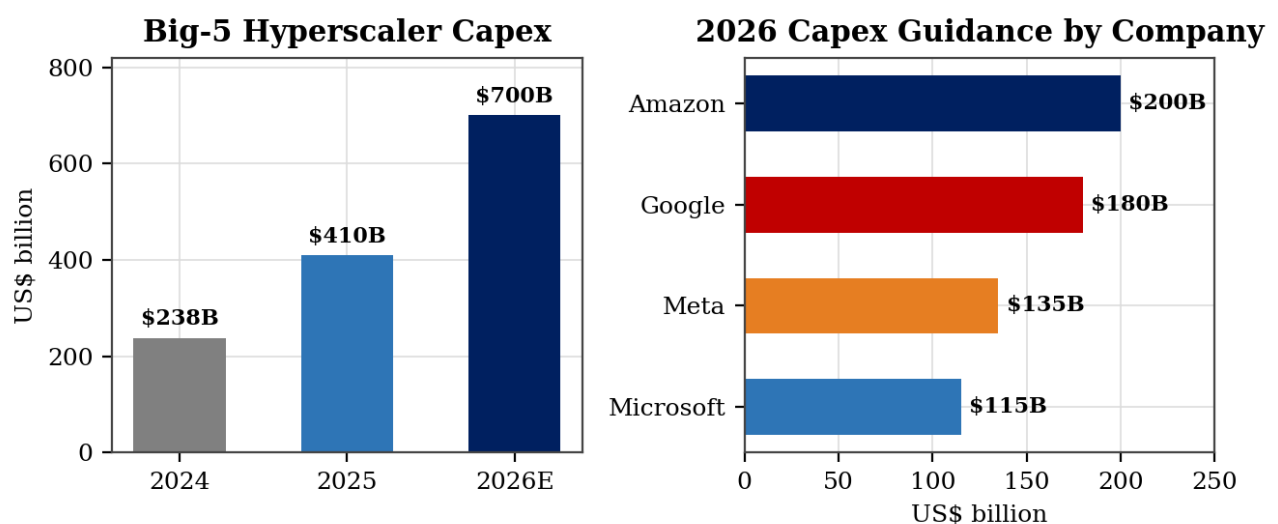


Figure 2.1 - Hyperscaler capital expenditure, 2024 to 2026 (estimated), and 2026 guidance by company.

Longer-range projections place aggregate AI capital expenditure between 2026 and 2031 in the region of US\$7.6 trillion across compute, data centres and power generation. Whether that figure is realised depends heavily on assumptions about the useful economic life of AI silicon and the cost per megawatt of new data-centre capacity, both of which remain contested.

Second-order effects

- Component scarcity: semiconductor lead times reached roughly forty weeks in March 2026, with memory ICs and fibre-optic components most acutely constrained.
- Input-cost inflation: part of the 2026 increase in AI hardware spending reflects higher memory prices rather than additional compute capacity.
- Power and cooling as bottlenecks: data-centre thermal-management suppliers have outperformed chip designers on the stock market during 2026.
- Colocation scarcity: North American colocation vacancy has tightened to approximately 1.4 per cent, giving operators durable pricing power.
- Depreciation drag: the accounting cost of this hardware will weigh on reported profits for several years, and the assumed useful life of an accelerator is itself disputed.

The open question is absorption. Enterprise adoption of AI services is real and growing, but it has not yet produced revenue at a scale that comfortably justifies the capital already committed. This is the central risk being debated

across the industry, and the reason share prices in the sector have become unusually sensitive to quarterly cloud growth figures.

3. SEMICONDUCTORS AND THE AI HARDWARE CYCLE

The global semiconductor market is projected at approximately US\$1.3 trillion in 2026, with AI accelerators responsible for a disproportionate share of the growth. NVIDIA reported revenue of US\$215.9 billion for fiscal 2026, of which US\$193.7 billion came from its Data Centre segment. In the first quarter of fiscal 2027, ended April 2026, Data Centre revenue alone reached US\$75.2 billion, up ninety-two per cent year on year.

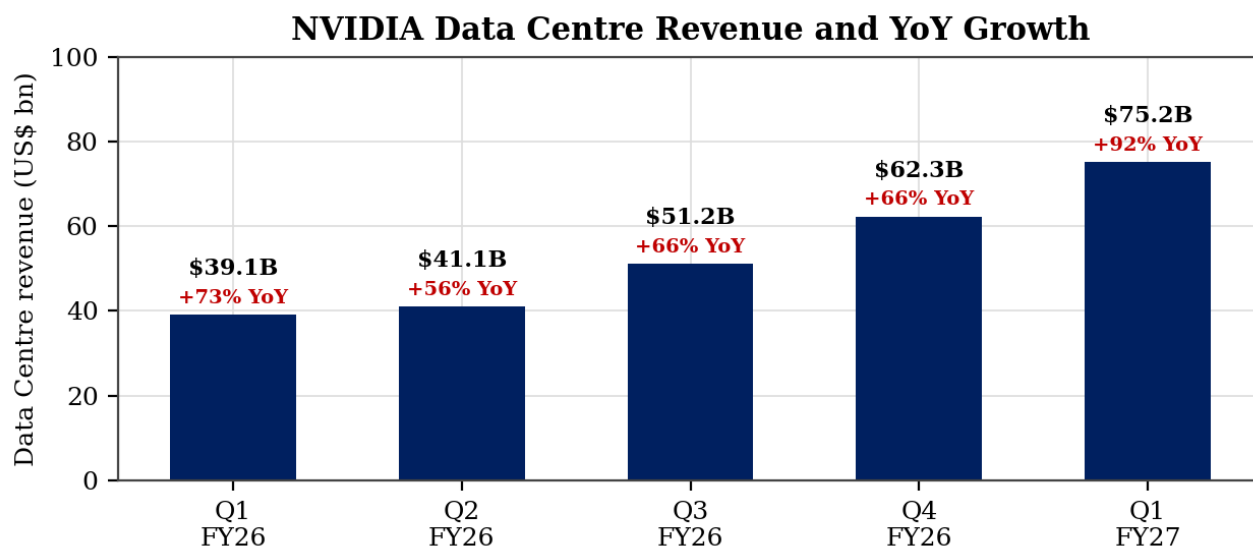


Figure 3.1 - NVIDIA quarterly Data Centre revenue and year-on-year growth rate.

Competition is intensifying rather than disappearing. AMD reported Data Centre revenue of US\$5.8 billion in the first quarter of 2026, up fifty-seven per cent year on year, while Broadcom's AI semiconductor revenue reached US\$8.4 billion, more than doubling year on year on the strength of custom accelerators designed for individual hyperscalers. Custom application-specific integrated circuits are estimated to offer a forty to sixty-five per cent total-cost-of-ownership advantage over general-purpose GPUs at scale, which explains why every large cloud provider now runs a silicon programme.

Foundry and supply chain

- TSMC reported second-quarter 2026 revenue of US\$40.2 billion at a 67.7 per cent gross margin and raised full-year 2026 capital expenditure guidance to US\$60-64 billion.
- Export controls continue to restrict the most advanced architectures from the Chinese market, while H200-class parts remain available.
- Memory has become the tightest link in the chain, with DRAM contract prices rising sharply through 2026 as high-bandwidth memory absorbs capacity.
- Concentration risk is now structural: a single supplier accounts for roughly three quarters of AI accelerator revenue.
- Lithography remains a single point of failure, with advanced systems available from only one manufacturer worldwide.

For electronics and computer engineering students, the practical consequence is that employment growth in hardware is no longer confined to chip design. Packaging, test engineering, power electronics, thermal design and high-speed interconnect are all constrained disciplines in 2026, and all of them are being built out in India.

4. INDIAN IT SERVICES: Q1 FY27 PERFORMANCE

India's largest IT services companies began financial year 2026-27 on a subdued note. Reported rupee revenue grew strongly - around fourteen per cent year on year across the six largest firms - but a substantial part of that

came from rupee depreciation rather than underlying volume. In constant-currency terms, only three of the six frontline companies grew sequentially.

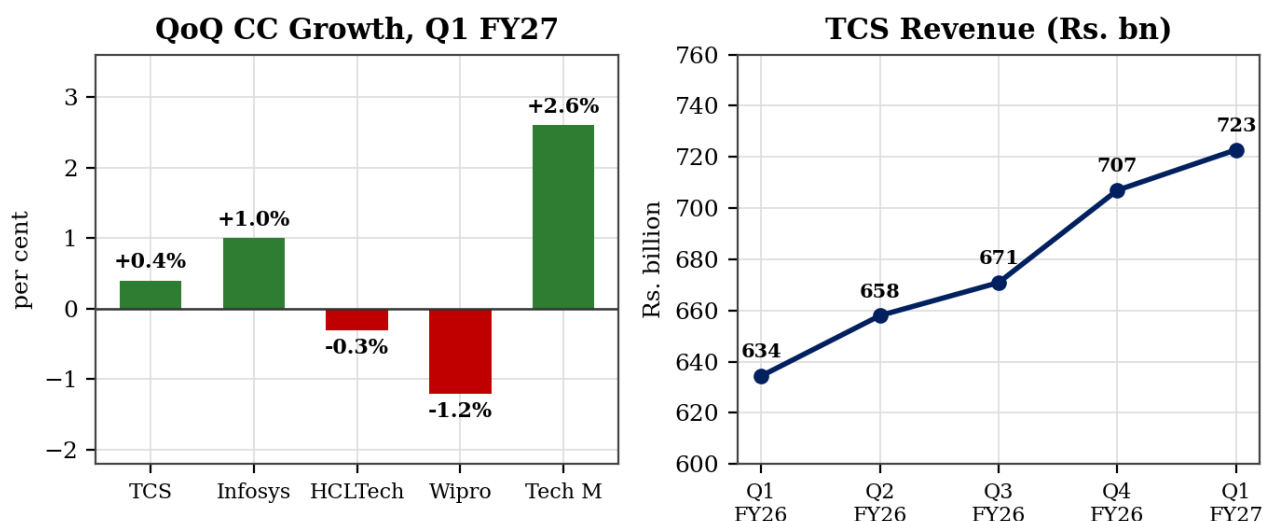


Figure 4.1 - Sequential constant-currency growth in Q1 FY27, and TCS quarterly revenue trend.

Company	Q1 FY27 Revenue	Order Book / TCV	Key Highlight
TCS	\$7,624 million	\$9.5 billion	AI business scaled to a \$2.6 billion annualised run rate
Infosys	Guidance retained	\$3.6 billion	61 per cent of large-deal TCV was net-new business
Wipro	\$2,610 million	Not disclosed	Net profit rose only 0.6 per cent as AI costs outpaced returns
HCLTech	Matched TCS pace	Not disclosed	AI revenue run rate of about \$684 million annualised

TCS closed the quarter with 593,798 employees and last-twelve-month voluntary attrition of 13.6 per cent in IT services, and reported an operating margin of 24.0 per cent. The common thread across the sector is AI-led pricing pressure: clients increasingly expect productivity gains from automation to be passed through as lower billing, which compresses the traditional headcount-linked revenue model. Margin improvements in the quarter were traceable largely to wage-hike timing, restructuring roll-off and currency rather than to operating leverage.

Why growth has stalled

- Discretionary transformation budgets remain tight; clients are prioritising cost take-out over new programmes.
- AI-led productivity gains are increasingly written into contracts as price reductions rather than retained as vendor margin.
- Captive centres are absorbing work that would previously have been outsourced to third-party vendors.
- Geopolitical uncertainty and visa costs have raised the price of onsite delivery in key markets.
- AI revenue, though growing quickly, is still small relative to the legacy base it has to offset.

5. INDIA'S GLOBAL CAPABILITY CENTRE BOOM

While the services exporters struggle for growth, captive centres set up directly by multinational enterprises are expanding far faster than forecast. According to the Nasscom-Zinnov India GCC Landscape Report 2026, India hosted 2,117 Global Capability Centres operating across 3,728 units in financial year 2026, employing about 2.36 million professionals and generating an estimated US\$98.4 billion in revenue. That figure is already close to the US\$105 billion that Nasscom had previously projected for 2030.

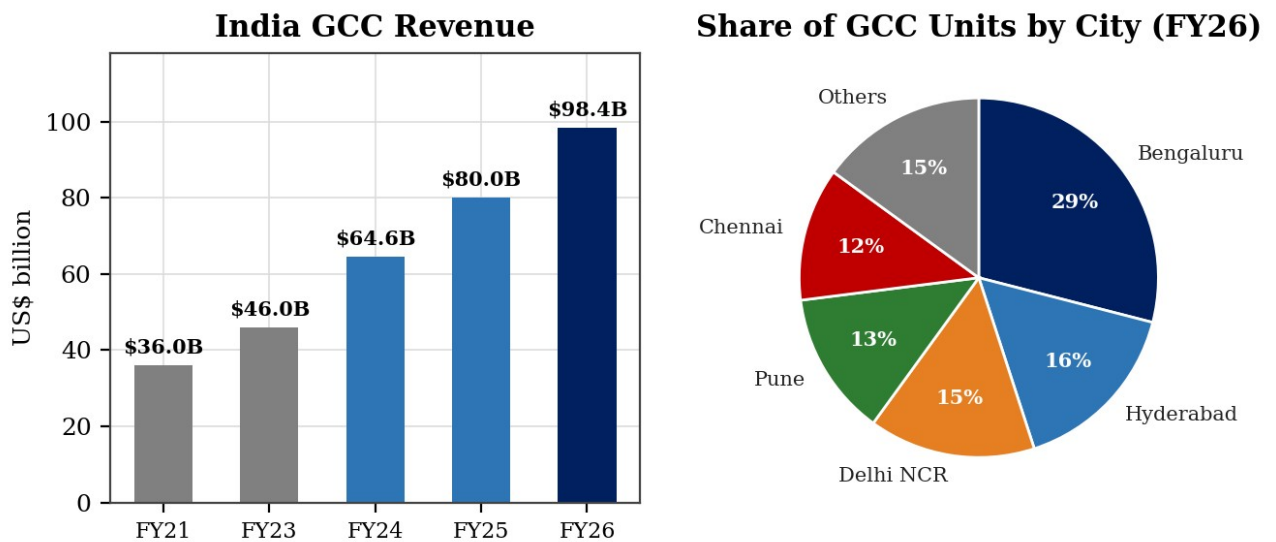


Figure 5.1 - Growth in India GCC revenue and distribution of GCC units across major cities.

The centre count and the unit count are deliberately separate measures, and the gap between them is instructive: the average GCC now operates from close to two cities rather than one. Bengaluru remains dominant with more than twenty-nine per cent of all units and over a third of installed talent, but Hyderabad, Pune, Chennai and Delhi NCR are absorbing an increasing share of new setups, and tier-two locations including Ahmedabad, Coimbatore, Kochi and Vadodara are growing quickly.

What this means for engineering graduates

- GCC hiring is projected at approximately 510,000 roles in 2026, a 3.4-fold increase over 2021.
- Around sixty-four per cent of new GCC roles require AI, data-science or intelligent-automation skills.
- India is now ranked the largest AI hiring market globally among GCC destinations, with 506 Forbes Global 2000 companies operating centres here.
- GCCs typically pay a twelve to twenty per cent premium over comparable IT services roles, with average 2026 increments near 10.4 per cent.
- Expansion continued even as the broader white-collar job market contracted about nine per cent year on year in June 2026.
- Many GCCs now recruit freshers through hackathons and structured internship programmes rather than conventional campus drives.

The structural shift behind these numbers is that GCCs have stopped being cost centres. Work that was once measured in tickets closed is now measured in products shipped, and an increasing number of centres hold global ownership of engineering, analytics or risk functions rather than supporting them from a distance.

6. INDIA SEMICONDUCTOR MISSION: FROM POLICY TO SILICON

India's semiconductor programme moved from announcement to production during 2026. The India Semiconductor Mission has committed about Rs. 76,000 crore across three scheme windows covering wafer fabrication, assembly and testing, and compound semiconductors, with ten projects approved and cumulative investment of roughly Rs. 1.6 lakh crore. The Union Budget for 2026-27 allocated Rs. 8,000 crore to the mission, its largest single-year outlay so far.

India Semiconductor Mission: Key Milestones

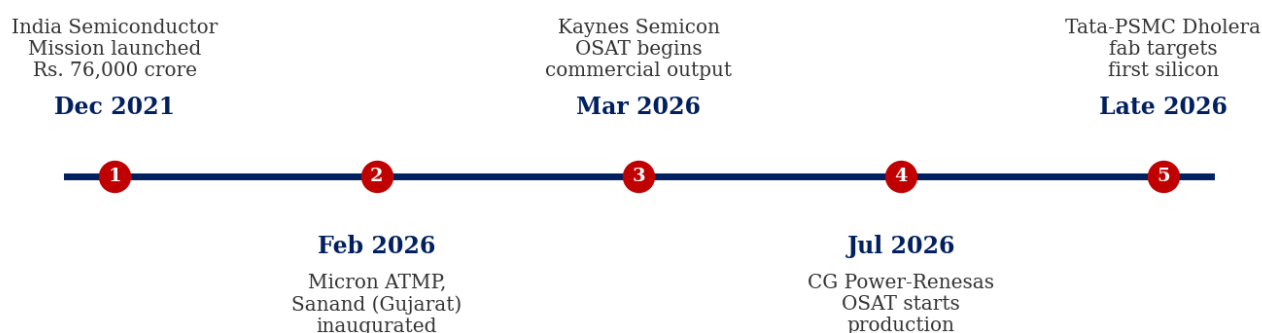


Figure 6.1 - Timeline of major India Semiconductor Mission milestones.

Micron Technology's assembly, test, marking and packaging facility at Sanand in Gujarat was inaugurated in February 2026 and is expected to package tens of millions of chips during the year, scaling further in 2027. Kaynes Semicon's packaging plant became commercially operational in March 2026, and the CG Power joint venture with Renesas began commercial production of automotive-grade packages in July 2026. The centrepiece remains the Tata Electronics and Powerchip Semiconductor joint-venture fabrication plant at Dholera, a 28-nanometre facility designed for 50,000 wafer starts per month across 66 hectares, targeting first silicon and expected to employ around 21,000 people.

Honest assessment of the gap

- All facilities operating today are back-end: they package and test wafers fabricated abroad, and packaging adds only ten to fifteen per cent of a chip's value.
- India has no leading-edge logic capability below seven nanometres, and is unlikely to before 2030.
- More than ninety per cent of fab equipment and eighty-five to ninety per cent of specialty chemicals are still imported.
- On the design side the picture is stronger: Qualcomm completed a 2-nanometre tape-out with work done entirely across its Bengaluru, Chennai and Hyderabad centres.
- Timelines for first commercial silicon from Dholera have been reported variously as late 2026 and mid-2028, and should be treated as uncertain.

Even with these caveats, the change since 2023 is substantial. Three plants are shipping commercial product, a special economic zone has been notified for the Dholera site, and the mature-node and automotive segments India is targeting match the requirements of its own fast-growing electronics manufacturing base.

7. CYBERSECURITY: A RECORD-BREAKING YEAR

September 2026 produced the largest single Patch Tuesday in Microsoft's history. The company addressed approximately 974 vulnerabilities in one release - counts vary slightly by methodology - including more than a hundred rated critical and two zero-days already under active exploitation. For comparison, Microsoft published 1,009 patches across the whole of 2024 and 1,139 across the whole of 2025. Year to date in 2026 the total has already exceeded 2,600 with a quarter of the year still remaining.

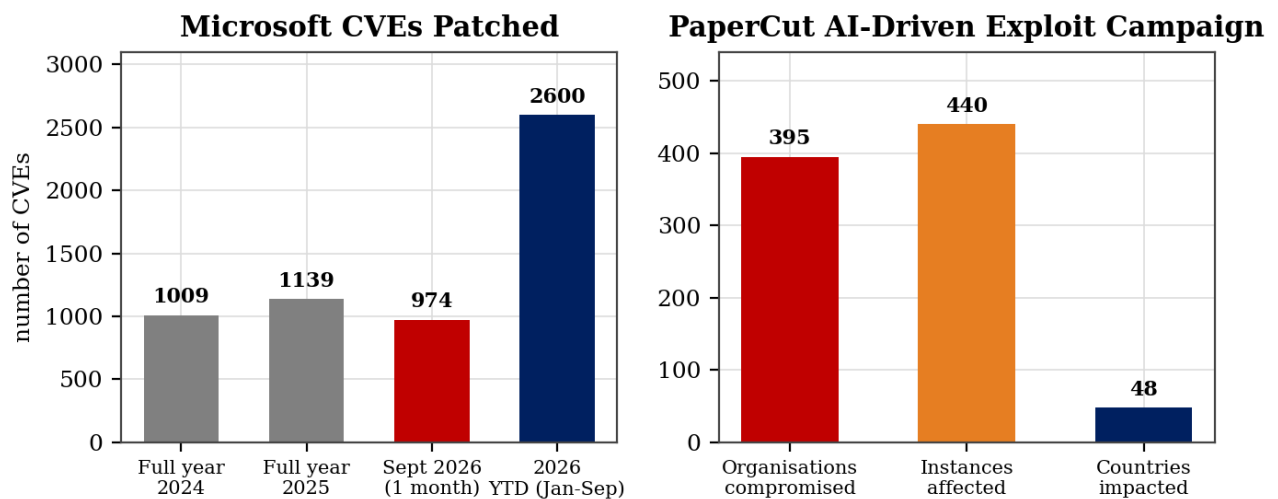


Figure 7.1 - Microsoft vulnerability disclosures in context, and the scale of the PaperCut exploitation campaign.

The surge is widely attributed to AI-assisted vulnerability discovery. The same capability is visible on the offensive side. In a campaign against two recent PaperCut NG/MF flaws, an attacker used several hundred coordinated AI agents to develop, test and deploy working exploits, compromising at least 440 instances across 395 organisations in 48 countries, many of them educational institutions. In some cases escalation to domain administrator took minutes rather than days.

Implications for defenders

- Patch cycles designed around monthly review meetings are no longer adequate when exploitation follows disclosure within hours.
- Security teams report spending most of their time on reactive alert triage, leaving little capacity for proactive threat hunting.
- Memory-safe languages are gaining institutional backing: Microsoft elevated Rust to Tier-1 internal language status alongside C++, C# and TypeScript.
- Sovereign cloud and cybersecurity are among the few IT services categories where client spending is accelerating rather than tightening.
- Educational and public-sector institutions running unpatched self-hosted software were disproportionately represented among victims.

The broader lesson of 2026 is symmetry. The same automation that lets a small team audit a large codebase also lets a small team weaponise what it finds, and the defender has to be right continuously while the attacker needs to be right once.

8. EMPLOYMENT AND THE AI EFFECT

The most socially significant news of 2026 is the divergence between revenue and headcount. Technology employers announced roughly 52,000 job cuts in the first quarter alone according to Challenger, Gray and Christmas, the highest first-quarter figure since 2023; trackers using a broader definition place first-quarter losses closer to 70,000. By September, cumulative 2026 technology layoffs were reported in the range of 160,000 to 210,000 people depending on the tracker and methodology used.

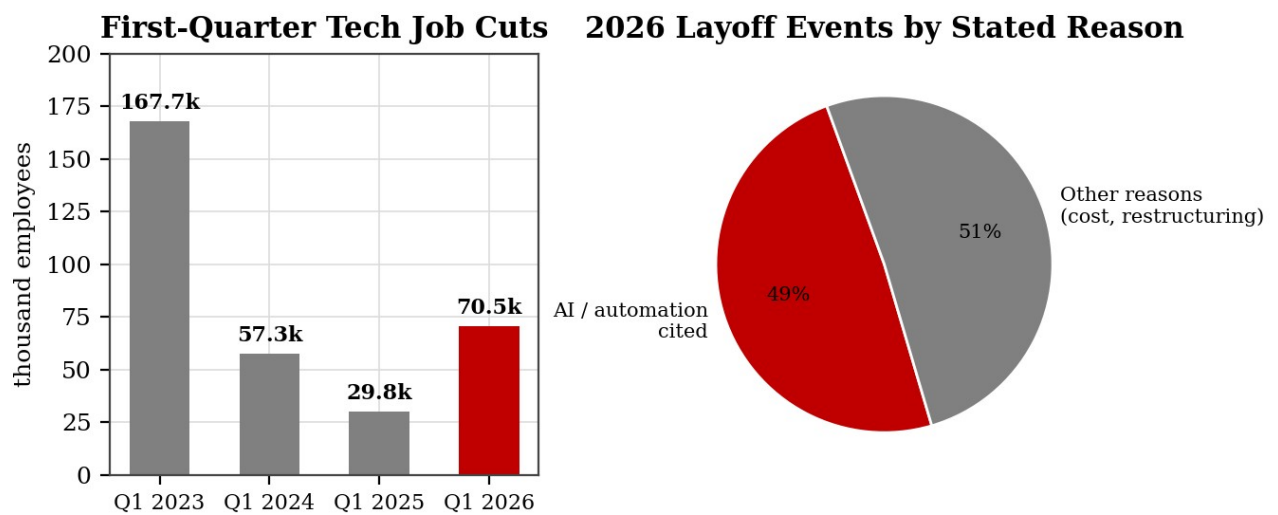


Figure 8.1 - First-quarter technology job cuts by year, and the stated reasons behind 2026 layoff events.

Roughly half of all 2026 layoff announcements explicitly cite AI, automation or machine learning as a driving factor. Oracle has been the most aggressive single employer, cutting more than 25,000 roles since January. Several companies have cut staff while simultaneously reporting record revenue - Google reduced Cloud headcount in a quarter when Cloud revenue grew sharply past US\$20 billion - which suggests restructuring to fund AI infrastructure rather than straightforward cost reduction.

Where demand is actually growing

- Cloud migration, platform and site-reliability engineering, data governance and cybersecurity continue to hire actively.
- AI-adjacent infrastructure roles - power, cooling, networking and silicon - are expanding faster than application development.
- Indian GCCs are adding roles at record pace even as global product companies contract.
- A meaningful share of announced cuts are reversed within a year; returning employees now account for a significant share of new hires in payroll data.
- Entry-level roles built around routine coding and manual testing are the most exposed; roles requiring system-level judgement are the least.

It is worth reading these figures carefully. Trackers differ on definitions, some count announced rather than executed cuts, and companies have a clear incentive to attribute restructuring to AI because investors have rewarded that framing. What is not in doubt is the direction: the industry is adding capital far faster than it is adding people.

9. EMERGING TRENDS, CONCLUSION AND REFERENCES

Away from the headline numbers, several quieter shifts are reshaping enterprise IT. AI-capable personal computers have moved from novelty to procurement requirement, with more than eighty per cent of organisations planning, piloting or deploying them. Wi-Fi 7 now accounts for close to half of enterprise wireless access-point revenue, making it the fastest enterprise wireless transition in recent memory. Agentic AI - systems that plan and execute multi-step tasks - has moved into production workloads, and with it a new class of governance and security problems.

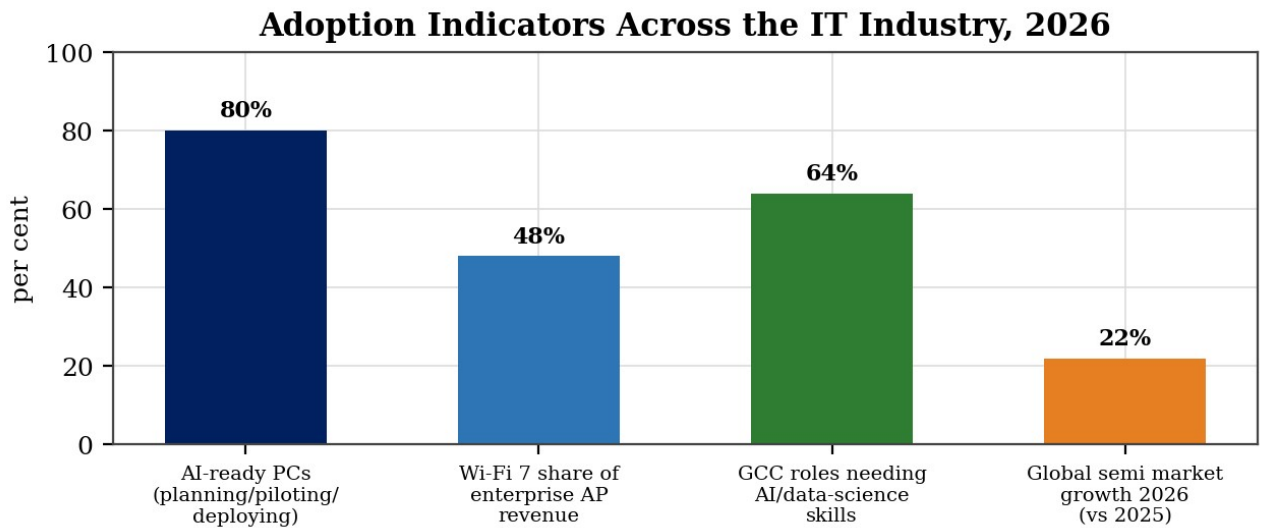


Figure 9.1 - Selected adoption and growth indicators across the IT industry in 2026.

Conclusion

The IT industry in 2026 is not in a downturn; it is in a violent reallocation. Capital is moving from software headcount to physical infrastructure, from general-purpose compute to custom silicon, and from third-party outsourcing to owned capability centres. For a student entering this market, the practical implication is that value is concentrating in skills that sit close to the hardware, close to the data, or close to security - and that fluency with AI tooling is now assumed rather than differentiating. The organisations hiring most aggressively in India are not the ones that dominated campus placement a decade ago.

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